



Looking comfortable in a kurta, Belen Garijo, Chair-Executive Board and Chief Executive Officer of the German science and technology giant Merck Group, smiles whenever India is mentioned. At the company's office in Bengaluru, the global chief of the €21-billion business that is present in life science, healthcare and electronics, thinks long term and speaks eloquently of Merck's history and its thirteenth generation in charge. Garijo has been at Merck for nearly 15 years now and moved into her current role in 2021.

Under her, the company is betting big on growth areas in the country, as seen by its recently signed memorandum of understanding with Tata Electronics to strengthen its semiconductor capabilities here. As part of the deal, Merck will offer products and services to Tata Electronics for its upcoming semiconductor fabrication unit in Dholera in Gujarat. Garijo says more such deals are in the pipeline. Edited excerpts from an interview with BT's Krishna Gopalan:

Q: What makes India a strategic market for the Merck Group?

A: India is the third-largest by way of workforce for us, after the US and China. We have the talent and capabilities to manufacture for our operations globally and through our IT centre in India, which provides data and automation capabilities worldwide.

Life science and healthcare have been big in India.

The agreement with the Tata Group is an indication of our interest in a big growth opportunity here.

Q: To your mind, what stands out about India and makes it unique?

A: First, the operational excellence that we gain when working here makes it extremely attractive for certain capabilities that we cannot have outside India. It is a big challenge to recruit talented individuals in other countries. Now, we come to India looking for talent, competence and super-specialisation.

India is a long-term democracy and very stable politically. Obviously, every country goes through bumpy times, but we see India as a predictable country, and we have very good relations with the government. We see the willingness of the government to attract international investment.

Last, but not least, our position in India will make us a preferred partner for major companies. Our agreement with the Tata Group is an example, but we have some more in the pipeline.

“We use AI to build our smart factories. We have automated these sites to make them much more efficient, bring products faster to market and increase both quality and reliability”

Q: You have taken a long-term view of India...

Long-term thinking is part of our culture. We entered China through our electronics business and, today, have a big footprint there. We entered healthcare from scratch and shifted the focus of that portfolio, which at the time was with essential medicines for China. We built a billion-dollar business in just five years.

Now, China has become a developed market driven by innovation. We anticipate something similar in India, and as we speak, we have a team working on a long-term strategy.

Q: Your letter to Merck's shareholders for 2024 spoke about artificial intelligence (AI) as a transformative force. Tell us a little more about that.